

Exchange rate and Production network

Macro Internal Seminar

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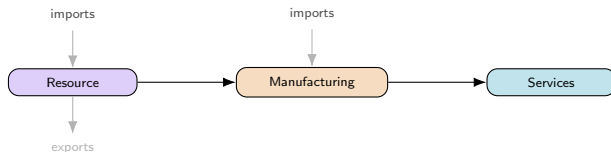
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Motivation

Network Phillips curves (Rubbo 2024, La'O–Tahbaz-Salehi 2022): **closed economy**, unique DC index

Open-economy NK (Galí–Monacelli 2005): FX channel, **no network**

This paper: both together — multi-sector network + FX



Questions: Optimal FX regime? Does the DC index survive a 2nd cost-push channel?

Literature

Network side (closed economy):

Rubbo (2024) — Calvo network $\Rightarrow$ unique DC index (1 cost-push channel)

La'O & Tahbaz-Salehi (2022) — optimal MP in production networks

Pasten, Schoenle & Weber (2020) — sectoral rigidity heterogeneity drives MP transmission

Open-economy side:

Galí & Monacelli (2005) — 1-sector SOE: domestic-inflation targeting $\approx$ optimal, peg dominated (ToT channel)

Fanelli & Straub (2021) — FX intervention as a *second* instrument, separate from i_t

Schmitt-Grohé & Uribe (2003) — debt-elastic premium to stationarize NFA; flags 1st-order welfare risk

Gopinath & Itskhoki (2022); Amity et al. (2019); Auer, Levchenko & Sauré (2019) — pass-through, dominant currency, IO spillovers

Itskhoki & Mukhin (2023); Bianchi & Coulibaly (2025); Coulibaly (2023) — frontier: managed float/fear-of-floating *optimal*, not behavioral (no network)

Gnocco, Montes-Galdón & Stamato (2025, ECB); Kalemli-Özcan et al. (2025) — open economy *with* network (tariffs), fixed Taylor rule, no FX-regime choice¹

Qiu, Wang, Xu & Zanetti (2026, JME) — closest paper: derives the open-economy DC index directly extending Rubbo, WIOD 43-country calibration; but *static* (no NFA/persistence), no UIP, and no FX-regime choice — their own conclusion lists relaxing financial autarky as their top open extension

Gap: network + open economy + FX **regime choice** together — no one has this. Same ranking as Galí–Monacelli but a **different channel** (risk-premium, not ToT); Managed's dominance echoes Fanelli–Straub & Itskhoki–Mukhin, but from network persistence.

→ paper-by-paper comparison to the literature: Appendix

¹Details & what these papers cite for open-economy production networks: Appendix.

This Paper

Extend Rubbo $\rightarrow$ SOE: imported inputs Ω^F , UIP, debt-elastic premium

Ask: optimal FX regime? DC index survive with 2 cost-push channels?

Three literatures, none overlapping fully (network only; open economy only; network + open economy but no regime choice) — **first to put all three together**

Not just Galí-Monacelli with sectors: ranking survives, but the mechanism (risk-premium) and sector heterogeneity are new

Calibrate: Chile's real I-O table (Banco Central), also Korea, Czechia & a stylized baseline; solve **nonlinear** model directly

Model Components

Small open economy: home takes foreign price P_t^{F*} , rate i^* , and demand D_t^* as given.

- 1 Households — consumption/labor, foreign bond holdings
- 2 Firms — Cobb-Douglas technology, marginal cost
- 3 Production network — Leontief inverse, Domar weights
- 4 Firms: price setting — Calvo pricing, Phillips curve
- 5 Foreign sector — law of one price, UIP, NFA
- 6 Monetary policy — float / peg / managed float
- 7 Equilibrium system — the four blocks actually simulated

→ full equations & notation: Appendix

Households

Representative household chooses $\{C_t, L_t, B_t, B_t^*\}$ to maximize CRRA-consumption/disutility-of-labor utility, subject to a budget constraint with a domestic bond B_t (nets to zero in equilibrium) and a foreign bond B_t^* :

$$E_0 \sum_{t=0}^{\infty} \beta^t \left[\frac{C_t^{1-\gamma}}{1-\gamma} - \frac{L_t^{1+\varphi}}{1+\varphi} \right]$$

$$P_t^C C_t + B_t + S_t B_t^* = W_t L_t + \Pi_t + (1+i_{t-1})B_{t-1} + (1+i^*)[1-\psi(\hat{b}_{t-1}^* - \bar{b}^*)] S_t B_{t-1}^*$$

Consumption is CES across home/foreign goods, Cobb-Douglas across domestic sectors:

$$C_t = \left[\omega^{1/\eta} (C_t^H)^{\frac{\eta-1}{\eta}} + (1-\omega)^{1/\eta} (C_t^F)^{\frac{\eta-1}{\eta}} \right]^{\frac{\eta}{\eta-1}}, \quad C_t^H = \prod_i (C_{it}^H)^{\beta_i^H}$$

Firms: Technology

Firms in sector i share Cobb-Douglas technology (labor, domestic inputs, imports) and price under monopolistic competition; CRS makes marginal cost common across firms:

$$Y_{ift} = A_{it} L_{ift}^{\alpha_i} \prod_j X_{ijft}^{\Omega_{ij}^H} M_{ift}^{\Omega_i^F}$$
$$MC_{it} = \frac{W_t^{\alpha_i} \prod_j P_{jt}^{\Omega_{ij}^H} (S_t P_t^{F*})^{\Omega_i^F}}{A_{it}}$$

Two cost-push channels: MC_{it} moves with A_{it} (TFP) and S_t (import cost); with **Calvo pricing**, only a fraction δ_i resets each period — mechanics & Phillips curve: next slide.

Production Network

Stacking each firm's input shares $\Omega_{ij}^H, \Omega_i^F$ across sectors gives the **input-output network** $\Omega^H \in \mathbb{R}^{N \times N}$ and import-exposure vector $\omega_F \in \mathbb{R}^N$.

The **Leontief inverse** sums direct and indirect linkages:

$$(I - \Omega^H)^{-1} = I + \Omega^H + (\Omega^H)^2 + \dots$$

applied to consumption shares β^H (Households) it gives each sector's **Domar weight** (total GDP sales share); applied to ω_F , its total foreign exposure:

$$\lambda^\top = (\beta^H)^\top (I - \Omega^H)^{-1}, \quad \mathcal{M} = (I - \Omega^H)^{-1} \omega_F$$

Firms: Price Setting

Calvo pricing through the network delivers the (vector) Phillips curve:

$$\pi_t = \rho(I - \mathcal{V})\mathbb{E}_t\pi_{t+1} + \mathcal{B}(\gamma + \varphi)\tilde{y}_t - \mathcal{V}\chi_t + \Gamma\Delta e_t$$

Same amplifier, two shocks: $\mathcal{B}, \Gamma$ are the *same* rigidity-adjusted operator

$\tilde{A} \equiv \Delta(I - \Omega^H\Delta)^{-1}$, applied to labor share α vs. import share ω_F :

$$\mathcal{B} = \frac{\tilde{A}\alpha}{\kappa}, \quad \Gamma = \frac{\tilde{A}\omega_F}{\kappa}$$

Only relative shocks matter: $\mathcal{V}\mathbf{1} = \mathbf{0}$ — uniform TFP shocks create no cost-push; only sector-specific gaps $\chi_t = (I - \Omega^H)^{-1} \log \mathbf{A}_t - \mathbf{p}_{t-1}$ do.

where:

$\pi_t, \tilde{y}_t$: infl., gap

χ_t : TFP cost-push

Δe_t : exch. rate chg. κ : GE scalar

$\mathcal{B}, \Gamma$: PC slope, FX pass-thru

$\mathcal{V}$: TFP cost-push matrix

$\tilde{A}$: rigidity-adj. Leontief

Foreign Sector

P_t^{F*} , i^* , D_t^* are exogenous AR(1) processes. Law of one price:

$$P_t^{FH} = S_t P_t^{F*}$$

UIP, with a debt-elastic risk premium closing the model (Schmitt-Grohé–Uribe) and RP_t the risk-premium shock studied below:

$$i_t = i^* + \mathbb{E}_t \Delta e_{t+1} + \psi(\hat{b}_t^*) + RP_t$$

NFA accumulates the trade balance; exports respond to relative prices:

$$\hat{b}_t^* = \frac{1 + i_{t-1}}{\Pi_t^C} \hat{b}_{t-1}^* + \frac{P_t^H EX_t - P_t^{FH} IM_t}{P_t^C}, \quad EX_t = \kappa_{EX} D_t^* \left(\frac{P_t^H}{P_t^{FH}} \right)^{-\theta^*}$$

Two channels to the domestic economy:

$$\hat{s}_t + \hat{p}_t^{F*} \rightarrow MC_{it} \rightarrow \pi_{it} \quad (\text{cost-push}) \quad \hat{s}_t \rightarrow EX_t \rightarrow \tilde{y}_t \rightarrow \pi_{it} \quad (\text{demand})$$

Monetary Policy Regimes

Three exchange-rate regimes are compared. All target the **DC index** π_t^{DC} , **not CPI inflation**: Rubbo (2024) shows CPI targeting does *not* achieve divine coincidence even in the closed economy — π_t^{DC} is the closed-economy-optimal benchmark, so it is the natural rule to test for survival once the economy is opened.

Free float

$$\hat{i}_t = \phi_\pi \pi_t^{DC} + \phi_y \tilde{y}_t$$

The exchange rate adjusts endogenously.

Hard peg

$$\hat{s}_t = 0$$

Adjustment occurs through domestic inflation and output.

Managed float

$$\hat{i}_t = \phi_\pi \pi_t^{DC} + \phi_y \tilde{y}_t + \phi_s \hat{s}_t$$

The central bank partially stabilizes the exchange rate.

Equilibrium System

Everything above collapses to four blocks — this is what is actually coded up and simulated in Dynare.

Phillips curve (vector, network-amplified, two cost-push channels):

$$\pi_t = \rho(I - \mathcal{V})\mathbb{E}_t\pi_{t+1} + \mathcal{B}(\gamma + \varphi)\tilde{y}_t - \mathcal{V}\chi_t + \Gamma\Delta e_t$$

IS curve (aggregate demand; open economy adds the same relative-price term as the cost-push channel above):

$$\tilde{y}_t = \mathbb{E}_t\tilde{y}_{t+1} - \frac{1}{\gamma}(i_t - \mathbb{E}_t\pi_t^C - r_t^{\text{nat}}) - \frac{\eta(1 - \omega)}{\gamma}\mathbb{E}_t\Delta(\hat{s}_t + \hat{p}_t^{F*} - \hat{p}_t^H)$$

Foreign sector (UIP closes the FX block; NFA is the only state carried across regimes):

$$i_t = i^* + \mathbb{E}_t\Delta e_{t+1} + \psi(\hat{b}_t^*) + RP_t, \quad \hat{b}_t^* = \frac{1 + i_{t-1}}{\Pi_t^C}\hat{b}_{t-1}^* + \frac{P_t^H EX_t - P_t^{FH} IM_t}{P_t^C}$$

Policy rule (regime-dependent; the only block that changes across Float/Peg/Managed — same rules as previous slide):

$$\hat{i}_t = \begin{cases} \phi_\pi \pi_t^{DC} + \phi_y \tilde{y}_t & \text{Float} \\ \text{residual } (\hat{s}_t = 0) & \text{Peg} \\ \phi_\pi \pi_t^{DC} + \phi_y \tilde{y}_t + \phi_s \hat{s}_t & \text{Managed} \end{cases}$$

where:

r_t^{nat} : natural real rate

$\psi(\cdot)$, RP_t : debt wedge, risk-prem.

$\hat{p}_t^H$: log home price idx.

π_t^{DC} : DC index (target)

ω, η : home bias, elast.

$\mathcal{B}, \Gamma, \mathcal{V}$: PC coefficients

Welfare Loss Function

$$\mathcal{W} = \frac{1}{2} \left[\underbrace{(\gamma + \varphi) \text{Var}(\tilde{y}_t)}_{\text{output gap}} + \underbrace{\sum_i \kappa_i \text{Var}(\pi_{it})}_{\text{price dispersion}} \right], \quad \kappa_i = \lambda_{D,i} \varepsilon \frac{1 - \hat{\delta}_i}{\hat{\delta}_i}$$

Calibration: Chile Data

Parameter	Value	Source
$\alpha_1, \alpha_2, \alpha_3$	0.503, 0.359, 0.604	Data: BCCh IO table
$\Omega_F^1, \Omega_F^2, \Omega_F^3$	0.077, 0.195, 0.070	
$\beta_1^H, \beta_2^H, \beta_3^H$	0.027, 0.229, 0.744	
Export share _{1,2,3}	0.602, 0.180, 0.036	
$\delta_1, \delta_2, \delta_3$	0.90, 0.31, 0.16	Lit.: Dhyne et al. (2005); Nakamura–Steinsson (2008)
β	0.99	Literature
γ	1.00	
φ	2.00	
η	1.50	
ε	8.00	
θ^*	2.00	
$\beta^{F,tot}$	0.10	
ψ	0.020	
ϕ_π	1.50	
ϕ_γ	0.50	
ϕ_s	0.30	

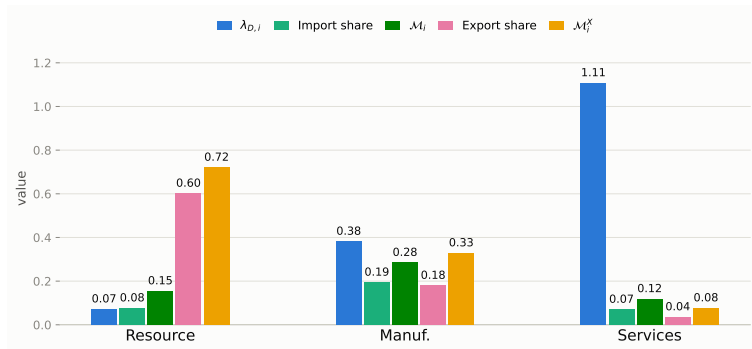
Ω^H (order: Res., Man., Serv.; source: BCCh IO table):

$$\Omega^H = \begin{pmatrix} 0.075 & 0.153 & 0.193 \\ 0.099 & 0.202 & 0.145 \\ 0.002 & 0.058 & 0.266 \end{pmatrix}$$

Calibration: Network Properties

$$\lambda_{D,i} = [(\beta^H)^\top (I - \Omega^H)^{-1}]_i, \quad \mathcal{M}_i = [(I - \Omega^H)^{-1} \omega_F]_i, \quad \mathcal{M}_i^X = [(I - \Omega^H)^{-1} \omega_X]_i$$

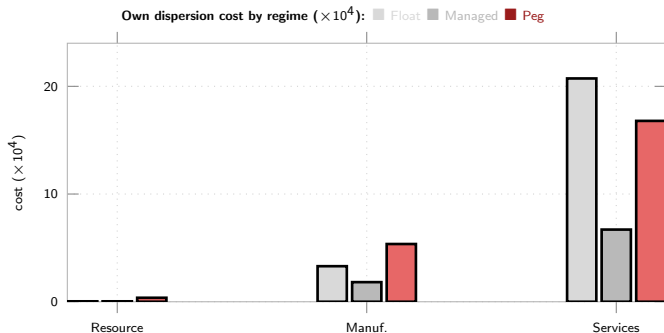
$\lambda_{D,i}$: Domar weight ω_F, ω_X : raw import/export share (own output) $\mathcal{M}_i, \mathcal{M}_i^X$: import/export centrality (same formula, network-propagated)



Both centralities amplify the raw share, unevenly: import exposure roughly doubles for every sector; export exposure jumps most for Manuf. (0.18→0.33), mostly via buying from Resource (60% exported). Structural fact about Ω^H ; not yet fed into the simulations.

Network Exposure & Sector Welfare Preferences

Welfare weight $\kappa_i = \lambda_{D,i} \varepsilon \frac{1-\hat{\delta}_i}{\hat{\delta}_i}$ applied to each sector's own price-dispersion variance — the formal, per-sector slice of the welfare loss.

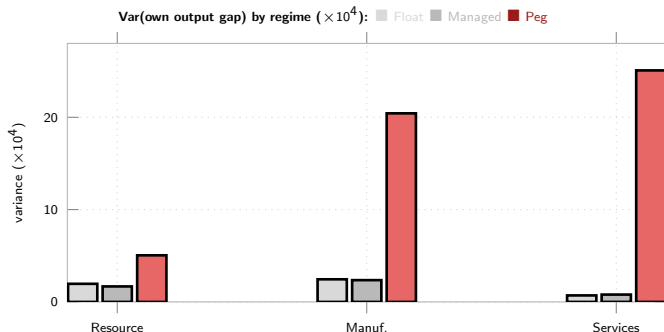


Managed dominates every sector. Peg costliest for Resource (0.37) & Manuf. (5.36); for Services, **Float is costliest** ($20.73 > \text{Peg's } 16.79$) — near-unit-root S_t under Float feeds the stickiest sector's marginal cost for a long time

Cost concentrates in Services under literature-sourced Calvo stickiness ($\hat{\delta}_3 = 0.03$) — Services carries most of the economy's welfare weight, so whichever regime is worst for its inflation dominates the aggregate ranking

Network Exposure: Output-Gap Variance by Sector

Sector's *own* output-gap variance — descriptive, not a welfare term (the loss function weights only the *aggregate* gap $\tilde{y}_t$).



Peg is the outlier — Float/Managed stay small and close across all sectors; Peg's variance concentrates in Manuf. and Services (20.4, 25.1), not Resource (5.0)

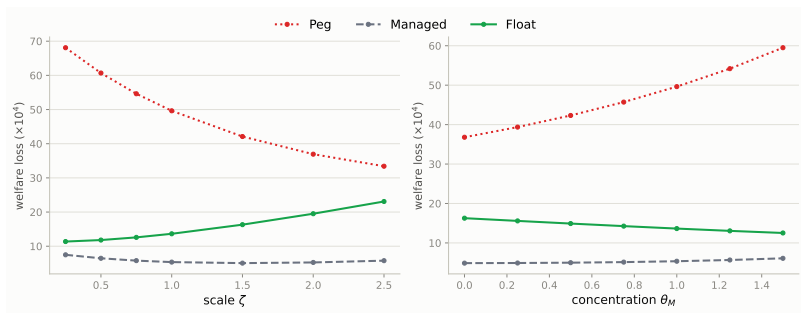
Opposite pattern from the price-dispersion chart: Peg's cost is almost entirely a *quantity* story, Float's Services cost almost entirely a *price*-dispersion one

Openness & Import Concentration

Reparametrize ω_F only ($\alpha_i = 1 - \Omega_i^H - \omega_{F,i}$ absorbs it, as in the ρ sweep):

$$\omega_{F,i}(\zeta) = \zeta \omega_{F,i}^{\text{base}} \quad \omega_{F,i}(\theta_M) = \bar{\omega}_F + \theta_M (\omega_{F,i}^{\text{base}} - \bar{\omega}_F)$$

$\zeta = \theta_M = 1$: baseline. ζ : uniform rescaling. θ_M : mean-preserving redistribution across sectors ($\theta_M=0$: uniform exposure).



Managed < Float < Peg robust; gap moves in opposite directions:

ζ : Peg ↓, Float ↑ — **converge**

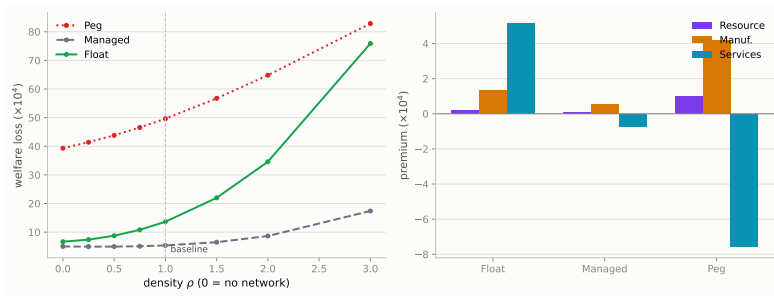
θ_M : Peg ↑, Float ↓ — **diverge**

Mechanism: $\alpha_i + \Omega_i^H + \omega_{F,i} = 1$ links the labor- and import-cost channels within every sector. ζ moves both economy-wide (Float's Γ -channel vs. Peg's labor-channel); θ_M moves them in/out of Services ($\approx$ all the Domar weight)

Isolating the Network Channel

New sweep, stylized triangular network (not Chile's dense Ω^H): scale domestic I-O links

OH_{21}, OH_{32} by ρ . $\rho=0$: no domestic network. $\rho=1$: baseline.



Right panel: $\kappa_i \text{Var}(\pi_{it})|_{\rho=1} - \kappa_i \text{Var}(\pi_{it})|_{\rho=0}$ per sector — price-dispersion only, doesn't sum to the left panel's total (sector-less output-gap term's own change not shown).

Managed is almost network-neutral: $\rho=0 \rightarrow 1$ adds only +0.35 to Managed vs. +6.98

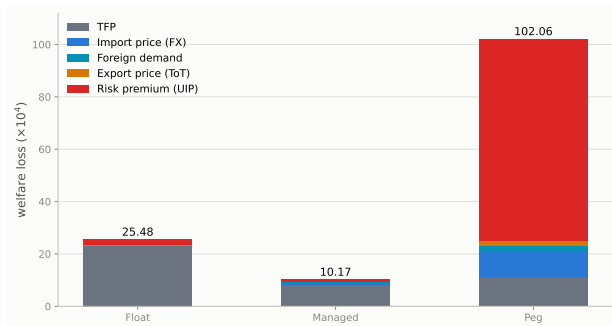
Float, +10.30 Peg

Denser network $\Rightarrow$ corners diverge from Managed: by $\rho=3$, Float (75.9) catches Peg (82.9), both $\gg$ Managed (17.4)

Burden lands on different sectors: Peg/Managed hit upstream Resource/Manuf., Services gains; Float hits Services most

Verdict: network **triples** the regime gap as density rises ($\rho:1 \rightarrow 3$) and **redirects** who bears the cost

Shock Decomposition of Welfare Cost

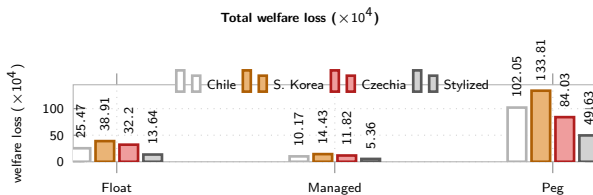


Risk-premium/UIP dominates Peg (75% of its total)

Ranking: Managed < Float $\ll$ Peg — Peg no longer competitive

Result: Peg's loss is $\approx 78\%$ output gap (79.53 of 102.05, zero monetary autonomy); Float's and Managed's are almost entirely price dispersion — full decomposition in appendix

Robustness: South Korea, Czechia & the Stylized Baseline



South Korea: diversified manufacturing exporter (Bank of Korea, 2022), deeper manufacturing import intensity than Chile ($\Omega_{\text{manuf}}^F = 0.24$ vs. 0.19)

Czechia: third real IO calibration (Eurostat, 2022), deepest manufacturing import intensity ($\Omega_{\text{manuf}}^F = 0.32$, EU/German supply chains)

Stylized: original hand-picked triangular Ω^H (Rubbo-style, no data) — checks the result isn't an artifact of network shape

Ranking survives in all four: Managed < Float $\ll$ Peg

UIP dominates Peg's loss in all four: 75% Chile, 72% Korea, 65% Czechia, 81% stylized — not specific to one calibration. All solved nonlinear (Dynare), not linearized.

Conclusion

Managed float optimal: 10.17 vs. Float 25.47, Peg 102.05 ($\times 10^4$, Chile calibration)

Driver: risk-premium/UIP dominates Peg (75%); TFP persistence dominates Float & Managed

Optimal $\phi_s \approx 0.20$: sharply peaked — over-stabilizing S_t is costly

Ranking robust to κ, θ, ρ (network density) & to Korea/Czechia calibrations; the *gap* is not

Network channel isolated (stylized network, ρ dial): $\rho=0 \rightarrow 1$ adds only +0.35 to Managed vs. +6.98 Float, +10.30 Peg — **denser networks favor Managed most**, and reallocate the network's sectoral burden (Services gains under Peg, loses under Float)

Vs. literature: same ranking as Galí–Monacelli, different channel (risk-premium, not ToT)

2nd-order-verified (Dynare order=2, pruned, simulated): loss rises $\leq 2\%$ net of MC noise, ranking unchanged — see appendix

Next: many-sector OECD TiVA calibration (beyond the 3-sector Chile/Korea/Czechia data)

Appendix: Chile Calibration — Sector Concordance & Sources

Resource = mining/copper (Chile's export engine, 60% of own output exported) → Manuf. (mid-chain) → Services (largest value added, sticky)

$\alpha_i, \Omega_{ij}^H, \Omega_i^F, \beta_i^H$: **data** (Banco Central de Chile, Cuadros 12x12, CdeR 2018, ref. 2023)

$\delta_1, \delta_2, \delta_3$: **literature** — euro-area price-change frequencies (Dhyne et al. 2005/ECB IPN) → quarterly reset prob.; cross-checked vs. Nakamura & Steinsson (2008) US PPI

$\beta, \gamma, \varphi, \eta, \varepsilon, \theta^*, \psi, \phi_\pi, \phi_\gamma, \phi_s$: literature-standard

Sector concordance (Banco Central de Chile, CdeR 2018, 12 activities → our 3): **Resource** = {1 Agriculture, forestry & fishing, 2 Mining}; **Manufacturing** = {3 Manufacturing industry, 4 Electricity, gas, water & waste management, 5 Construction}; **Services** = {6 Trade, hotels & restaurants, 7 Transport, communications & information services, 8 Financial intermediation, 9 Real estate & housing services, 10 Business services, 11 Personal services, 12 Public administration}.

Import & export data exist at the sector level from the same tables: imports = imported intermediate input use per buying sector (sheet 21, underlies Ω_i^F); exports = exports of each sector's own output (sheet 20, underlies the export-share figures on the Calibration slide).

Appendix: Is the Ranking Robust to a Genuine 2nd-Order Solution?

Why this was a caveat: Rubbo's LQ welfare formula is 2nd-order in utility, but evaluated on *1st-order* (certainty-equivalent) paths — valid only if $\mathbb{E}[\tilde{y}_t] = \mathbb{E}[\pi_{it}] = 0$ exactly. Two open-economy features can break that: the **debt-elastic UIP wedge** (nonlinear in B_t^*) and the **near-unit-root NFA** process — both mean the true *risk-adjusted* steady state can sit away from the deterministic one.

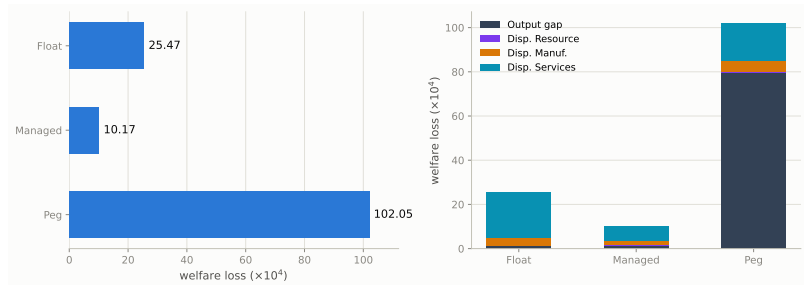
Method: the model is already coded nonlinear (levels) in Dynare. Solve to **order 2 with pruning**, **simulate** 260k periods (analytic order- ≥ 2 moments are unavailable: the Taylor rule leaves price levels/S with a unit root). Compute $\mathbb{E}[X^2]$ directly (not Var) so any risk-adjusted mean shift is captured. Control for simulation noise with an identical-seed order=1 run.

Welfare loss ($\times 10^4$)	Float	Managed	Peg
1st-order (analytic, headline)	25.47	10.17	102.05
1st-order (simulated, same seed)	25.58	10.20	102.39
2nd-order (pruned, simulated)	26.09	10.26	103.13
Net 2nd-order effect	+2.0%	+0.6%	+0.7%

Ranking survives: Managed < Float < Peg at 2nd order, correction $\leq 2\%$

over numbers

Welfare Loss: Total & Decomposition



Managed float dominates both corners. Peg's loss is $\approx 78\%$ output gap (79.53 of 102.05, zero monetary autonomy); Float's and Managed's are almost entirely dispersion.

Mechanisms: Why Each Regime Costs What It Costs

Regime	Cost channel	What sets the magnitude
Float	S_t 's near-unit-root persistence (NFA state) feeds $\Gamma_i \Delta e_t$ into every sector's MC, even for shocks with no FX content — pure dispersion cost	Persistence of debt-elastic premium (ψ); Γ_i (import exposure); κ_i of the most central/sticky sector (Services: 20.7 of 25.5)
Peg	Zero monetary autonomy: output-gap term explodes (79.5 of 102.1, $\approx 78\%$) on the UIP shock; $\Delta e_t \equiv 0$ <i>relocates</i> , not removes, adjustment into upstream P^H	Absence of ϕ_π, ϕ_y ; real vs. nominal share of the shock; upstream sector's Domar weight
Managed	$\phi_S \Delta \log S_t$ damps $\Gamma_i \Delta e_t$ without fully re-imposing peg's relocation cost — dominates every sector at once	Interior optimal $\phi_S^* \approx 0.20$: too low $\rightarrow$ UIP shock leaks in; too high $\rightarrow$ autonomy lost

Two forces, always in tension: Γ -channel favors peg (switches off $\Gamma_i \Delta e_t$); **relocation** channel favors float (peg's fixed e_t forces the same adjustment into upstream prices). Which wins depends on Γ_i vs. κ_i ; managed is the only regime improving on *both* corners for every sector.
Analytical or simulated? Both.

Channels — closed-form: $\Gamma_i = [\tilde{A}\omega_F]_i / \kappa$ (pass-through), $\kappa_i = \lambda_{D,i} \varepsilon^{\frac{1-\delta_i}{\delta_i}}$ (welfare weight),

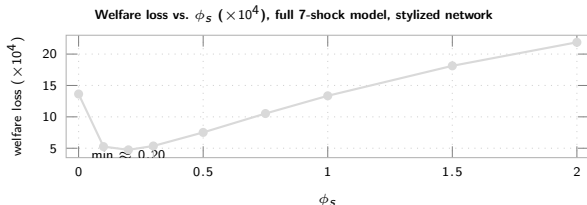
DC-survival $\phi^\top \mathcal{V} = 0^\top$ and $\phi^\top \Gamma = 0$ — from primitives alone, no model solve.

Magnitudes/ranking — need simulation: $\text{Var}(\pi_{it}), \text{Var}(\tilde{y}_t)$ come from the full linear RE solution (order-1 Dynare) — no closed form once $\phi_S > 0$ or Ω^H dense.

Managed < Float < Peg and $\phi_S^* \approx 0.20$ are simulated, but robust across all four calibrations.

Appendix: Mechanisms — Why
Each Regime Costs What It
Costs

Managed Float: Optimal Stabilization Intensity ϕ_s



Why interior: too low $\rightarrow$ UIP shock leaks in; too high $\rightarrow$ loses autonomy

$\phi_s=0 \rightarrow 0.20$: loss 13.64 $\rightarrow$ 4.74. **Peaked, not flat:** 0.20 beats calibrated 0.30 by $\approx 13\%$

Beyond ≈ 0.2 : rises fast, back above Float by $\phi_s=1$

Appendix: DC Index — Definition and Insulation

Closed economy (Rubbo): 1 channel (TFP), $\mathcal{V}$ rank-deficient $\Rightarrow$ unique DC index:

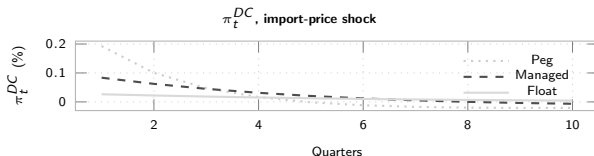
$$\phi^\top \mathcal{V} = \mathbf{0}^\top \Rightarrow \pi_t^{DC} = \sum_i w_i^{DC} \pi_{it}, \quad w_i^{DC} \propto \lambda_{D,i} \frac{1-\delta_i}{\delta_i}$$

Open economy: 2 channels (TFP + FX):

$$\underbrace{\phi^\top \mathcal{V} = \mathbf{0}^\top}_{\text{TFP}} \text{ and } \underbrace{\phi^\top \Gamma = 0}_{\text{FX}} \Rightarrow \text{generically infeasible}$$

Knife-edge test: $\Gamma \propto \mathcal{B}$ would save the DC index. Instead: $\cos(\Gamma, \mathcal{B}) \approx 0.96$ ($\approx 17^\circ$ apart) — close, but $\Gamma_i/\mathcal{B}_i$ shrinks $\approx 2\times$ per sector, not constant. Breakdown is real, not a numerical artifact.

Fix: import nodes flexible ($\hat{\delta}_M=1 \Rightarrow w_M=0$) $\Rightarrow$ DC well-defined again by construction — what the Taylor rules target throughout (π_t^{DC}); FX insulation itself is a quantitative question, shown below.

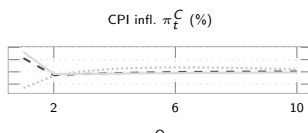
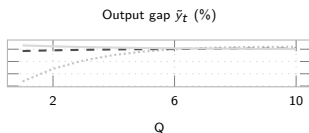
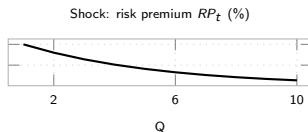
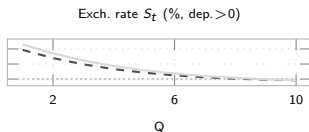


Float: smallest on impact (0.026%) & most persistent; Peg/Managed overshoot and reverse sign — on-impact insulation $\neq$ full story.

Appendix: Divine Coincidence
(DC) Index Details

IRFs: Foreign Risk-Premium Shock — the Key Mechanism

The shock that decides the ranking: 75% of Peg's welfare loss (Chile calibration).

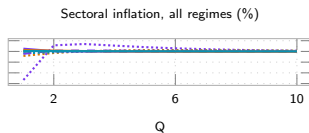
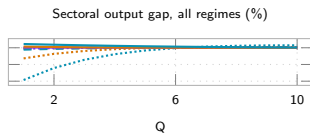


Peg ●●● Managed - - Float —. Slow decay under Float (vs. fast reversal under Peg/Managed) is the persistence mechanism behind Float's larger sectoral dispersion cost. Sector-level IRFs: Appendix (next slide).

Appendix: Additional Shock IRFs
(Backup, not in 25-slide count)

IRFs: Foreign Risk-Premium Shock — Sectoral Detail

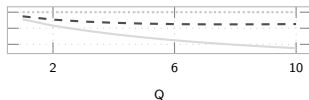
Sector-level counterpart to the previous risk-premium IRF slide — underlies the sectoral dispersion costs on the Network Exposure & Welfare slides.



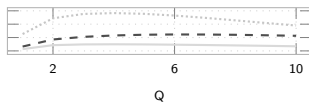
Peg ... Managed - - Float —. Sectoral by regime: line style = regime, color = Res. Man. Serv.

IRFs: Resource TFP Shock

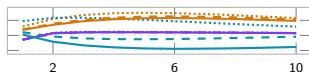
Exch. rate S_t (% , dep.>0)



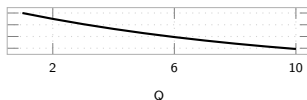
Output gap $\tilde{y}_t$ (%)



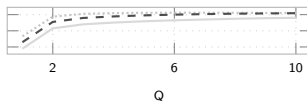
Sectoral output gap, all regimes (%)



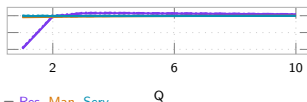
Shock: TFP A_{1t} (%)



CPI infl. π_t^C (%)



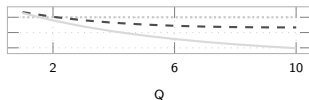
Sectoral inflation, all regimes (%)



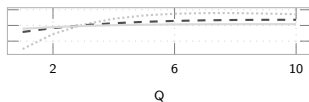
Peg ... Managed - - Float Q . Sectoral by regime: line style = regime, color = Res. Man. Serv.

IRFs: Manufacturing TFP Shock

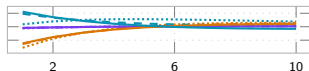
Exch. rate S_t (% , dep.>0)



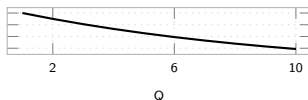
Output gap $\tilde{y}_t$ (%)



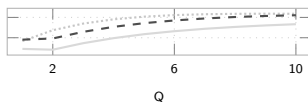
Sectoral output gap, all regimes (%)



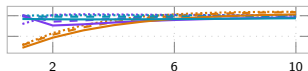
Shock: TFP A_{2t} (%)



CPI infl. π_t^C (%)



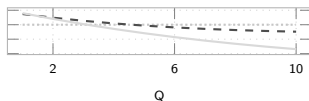
Sectoral inflation, all regimes (%)



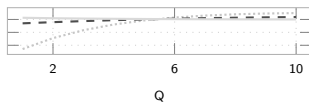
Peg ... Managed - - Float Q . Sectoral by regime: line style = regime, color = Res. Man. Serv. Q

IRFs: Services TFP Shock

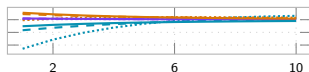
Exch. rate S_t (% , dep.>0)



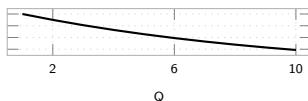
Output gap $\tilde{y}_t$ (%)



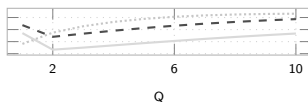
Sectoral output gap, all regimes (%)



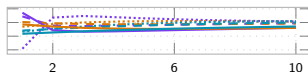
Shock: TFP A_{3t} (%)



CPI infl. π_t^C (%)



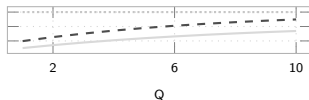
Sectoral inflation, all regimes (%)



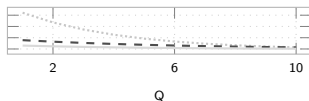
Peg ... Managed - - Float Q . Sectoral by regime: line style = regime, color = Res. Man. Serv. Q

IRFs: Foreign-Demand Shock

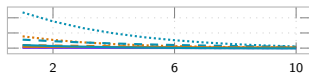
Exch. rate S_t (% , dep.>0)



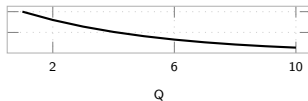
Output gap $\tilde{y}_t$ (%)



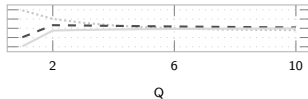
Sectoral output gap, all regimes (%)



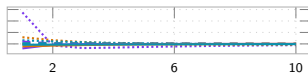
Shock: foreign demand D_t^* (%)



CPI infl. π_t^C (%)



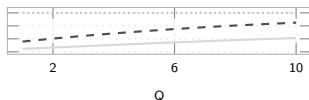
Sectoral inflation, all regimes (%)



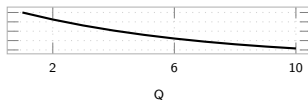
Peg ●●● Managed - - Float —. Sectoral by regime: line style = regime, color = Res. Man. Serv.

IRFs: Export-Price / ToT Shock

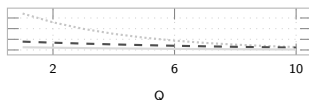
Exch. rate S_t (% , dep.>0)



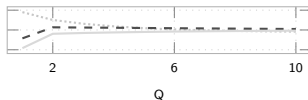
Shock: export price P_t^X (%)



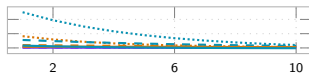
Output gap $\tilde{y}_t$ (%)



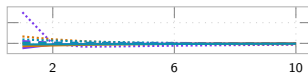
CPI infl. π_t^C (%)



Sectoral output gap, all regimes (%)



Sectoral inflation, all regimes (%)

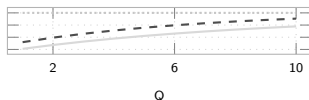


Peg ●●● Managed - - Float —. Sectoral by regime: line style = regime, color = Res. Man. Serv.

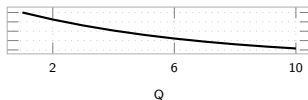
Appendix: Additional Shock IRFs
(Backup, not in 25-slide count)

IRFs: Import-Price Shock (Backup)

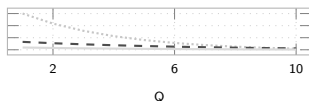
Exch. rate S_t (% , dep. > 0)



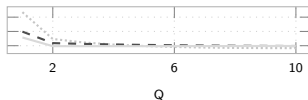
Shock: import price P_t^{F*} (%)



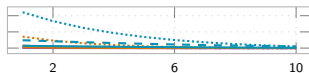
Output gap $\tilde{y}_t$ (%)



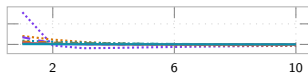
CPI infl. π_t^C (%)



Sectoral output gap, all regimes (%)



Sectoral inflation, all regimes (%)



Peg ●●● Managed - - Float Q. Sectoral by regime: line style = regime, color = Res. Man. Serv.

Appendix: Model Equations & Notation (1/2)

Households

$$\max \mathbb{E}_0 \sum_t \beta^t \left[\frac{C_t^{1-\gamma}}{1-\gamma} - \frac{L_t^{1+\varphi}}{1+\varphi} \right] \quad \text{s.t.} \quad P_t^C C_t + S_t B_t^* = W_t L_t + \Pi_t + (1+i^*)[1-\psi(\hat{b}_{t-1}^* - \bar{b}^*)] S_t B_{t-1}^*$$

$$C_t^{-\gamma} = \beta(1+i_t)\mathbb{E}_t[C_{t+1}^{-\gamma}/\Pi_{t+1}^C], \quad W_t/P_t^C = C_t^\gamma L_t^\varphi, \quad (1+i_t) = (1+i^*)[1-\psi(\hat{b}_t^* - \bar{b}^*)] \mathbb{E}_t[S_{t+1}/S_t] \text{ (UIP)}$$

C, L : consumption, labor
 ψ : debt-elastic premium

β, γ, φ : discount, RRA, inv. Frisch
 B^* : foreign bond

W, i : wage, dom. rate
 P^C : CPI

S, i^* : ER, foreign rate
 Π_t : profits (rebated)

Firms: Technology and Cost

$$Y_{it} = A_{it} L_{it}^{\alpha_i} \prod_j X_{ijt}^{\Omega_{ij}^H} M_{it}^{\Omega_i^F} \Rightarrow MC_{it} = \frac{W_t^{\alpha_i} \prod_j P_{jt}^{\Omega_{ij}^H} (S_t P_t^{F*})^{\Omega_i^F}}{A_{it}}$$

$$W_t L_{it} = \alpha_i MC_{it} Y_{it}, \quad P_{jt} X_{ijt} = \Omega_{ij}^H MC_{it} Y_{it}, \quad S_t P_t^{F*} M_{it} = \Omega_i^F MC_{it} Y_{it}$$

Y, A : output, TFP
 α_i : labor share

L, X, M : labor, dom./imp. inputs
 MC_{it} : nominal marg. cost

Ω_{ij}^H : dom. IO share
 P^{F*} : foreign import price

Ω_i^F : import cost share

Key: MC_{it} moves with both A_{it} (TFP) and S_t (via M_{it}) — the two cost-push channels.

Appendix: Model Equations & Notation (2/2)

Firms: Calvo Pricing — reset price (probability δ_i resets, $1-\delta_i$ keeps last price):

$$X1_{it} = \widetilde{MC}_{it} Y_{it} + (1-\delta_i)\beta \left(\frac{C_{t+1}}{C_t} \right)^{-\gamma} \Pi_{i,t+1}^\varepsilon X1_{i,t+1}, \quad X2_{it} = Y_{it} + (1-\delta_i)\beta \left(\frac{C_{t+1}}{C_t} \right)^{-\gamma} \Pi_{i,t+1}^{\varepsilon-1} X2_{i,t+1}$$

$$P_{it}^\# / P_{it} = \frac{\varepsilon}{\varepsilon-1} X1_{it} / X2_{it}, \quad 1 = (1-\delta_i)\Pi_{it}^{\varepsilon-1} + \delta_i (P_{it}^\# / P_{it})^{1-\varepsilon}, \quad \delta_i = \frac{\delta_i(1-\beta(1-\delta_i))}{1-\beta\delta_i(1-\delta_i)}$$

δ_i : Calvo reset prob. (primitive) $\hat{\delta}_i$: derived slope (enters DC weights) $P_{it}^\#$: reset price ε : elasticity (markup $\varepsilon/(\varepsilon-1)$)

Open Economy

$$\underbrace{P_t^{FH} = S_t P_t^{F*}}_{\text{LOP}}, \quad \underbrace{(1+i_t) = (1+i^*)[1-\psi(\hat{b}_t^* - \bar{b}^*)]}_{\text{UIP}} \mathbb{E}_t[S_{t+1}/S_t]$$

$$\hat{b}_t^* = \frac{1+i_t-1}{\Pi_t} \hat{b}_{t-1}^* + \frac{P_t^H EX_t - P_t^{FH} IM_t}{P_t^C}, \quad EX_t = \kappa_{EX} D_t^* \left(\frac{P_t^H}{P_t^{FH}} \right)^{-\theta^*}$$

$$Y_{it} = \beta_i^H \frac{P_t^H}{P_{it}^H} (C_t^H + EX_t) + \sum_j \Omega_{ji}^H \frac{MC_{jt} Y_{jt}}{P_{it}^H}$$

$\hat{b}^*$: NFA (scaled) EX, IM : exports, imports θ^* : export elasticity D^* : foreign demand shifter
 β_i^H : cons. share, sector i Float: i_t Taylor rule, S_t free Peg: $S_t = \bar{S}$, i_t residual

Appendix: The Peg vs. Float Debate — What Do We Know?

Why it depends (structure):

Mundell (1961) OCA — fix favored by small, open, factor-mobile economies w/ correlated shocks vs. anchor; float favored by large, diversified ones

Frankel (1999) — “no single regime is right for all countries or at all times”; openness, size, trade & capital-market structure all matter

Shock-absorption view (why float wins on real shocks — robustly):

Friedman (1953) — S_t adjusts instead of costly wage/price deflation

Broda (2004) — 75 dev. countries, 1973–96: negative ToT shocks → large real GDP declines under pegs

Edwards & Levy-Yeyati (2005) — 10% ToT deterioration: −0.80pp growth under pegs vs. −0.43pp under floats

Céspedes, Chang & Velasco (2004) — even with dollarized-liability balance-sheet effects, float *still* beats fixed

But floating is not a free lunch (limits on float's insulation):

Calvo & Reinhart (2002) “Fear of Floating” — EMEs peg de facto anyway: credibility-building, not literal welfare optimum

Rey (2013) “Dilemma not trilemma” — under free capital mobility, float alone doesn't deliver monetary autonomy

Consensus: no corner solution is universally optimal — the choice trades a nominal anchor against real-shock absorption, shock- and structure-dependent.

Appendix: The Frontier — Is Fear of Floating Actually Optimal?

Itskhoki & Mukhin (2023) — general open-economy framework with endogenous UIP/PPP deviations: efficient policy = MP closes the output gap + FX intervention eliminates the UIP wedge. Optimal policy is generically a **managed float/crawling peg**, matching observed fear of floating. When the natural RER is stable, this collapses to an “open-economy divine coincidence.”

↪ *vs. us*: **same headline** (Managed, not a corner, is optimal) — reached instead via a multi-sector Calvo network with a persistence-driven, not UIP-gap-closing, mechanism

Bianchi & Coulibaly (2025; 2022 WP) — fear of floating is **optimal**, not behavioral, when credit access is tied to the real exchange rate (self-fulfilling crisis risk). Prescription: float for real shocks, **fix** for financial shocks

↪ *vs. us*: **opposite ranking** for our financial shock — our risk-premium/UIP shock passes straight through under **Peg** (worst regime). Different financial friction (persistent NFA wedge vs. collateral-constraint crisis) flips the prescription

Coulibaly (2023) — discretionary MP is procyclical to offset balance-sheet effects; commitment (inflation targeting) or capital controls raise welfare

↪ *vs. us*: echoes our “Managed = extra instrument” logic — giving policy more tools beats a corner regime

Bottom line: the 2023–25 frontier has also moved past corner solutions — but *why* fear of floating is optimal is mechanism-specific. We add production-network amplification + shock persistence as a distinct reason, not examined by either paper.

Appendix: How Our Results Compare to the Literature

Literature	Says	Us
Mundell (1961); Frankel (1999)	Optimal regime depends on structure, no universal answer	Confirms: ranking flips with shock type (UIP vs. TFP) and network density
Friedman (1953); Broda (2004); Edwards-Levy-Yeyati (2005); Céspedes-Chang-Velasco (2004) Galí & Monacelli (2005)	Float buffers real (ToT/foreign) shocks, lower output loss than peg — robust even to balance-sheet effects Peg dominated, float $\approx$ optimal in 1-sector SOE	Same direction (Peg worst), different shock: risk-premium/UIP, not ToT Same ranking of Peg , but pure Float is not optimal: Managed beats it
Calvo-Reinhart (2002)	EMEs avoid pure float — read as fear , a credibility-driven deviation from optimum	We find partial stabilization is literally welfare-optimal — a persistence-driven, not fear-driven, reason
Rey (2013)	Float alone doesn't insulate; need a second instrument (capital controls/macropu)	Echoes Fanelli-Straub: Managed uses S_t itself as that second instrument
Qiu, Wang, Xu & Zanetti (2026, JME)	Open-economy DC index (CPI+expenditure-switching+profit channels), <i>static</i> , WIOD-calibrated; DC breaks down, output-gap targeting near-optimal	Independent corroboration DC breaks down in open economy; we add the piece they flag as their own top open extension — UIP, NFA persistence, and FX-regime choice

Appendix: The ECB's Open-Economy Production-Network Model

Gnolato, Montes-Galdón & Stamato (2025), “Tariffs across the supply chain,” ECB WP No. 3081 — also underlies Lane’s (ECB Exec. Board) 13 May 2026 speech on energy shocks (4-region extension):

Setup: two-region, multi-sector, full IO structure, international production network; sticky wages/prices; Taylor rule on *domestic* CPI (no regime comparison)

Finding: tariffs on **intermediate** inputs → persistent inflation & larger GDP loss (low substitutability, network propagation); tariffs on **final** goods → one-off inflation spike, smaller GDP loss — *where* in the network a shock hits sets its persistence

↪ *vs. US:* their tariff-location result and our TFP-vs-UIP result are the same insight in two settings: shock **location/type** sets its persistence, echoing our “driver is persistence, not volatility”

What it cites for open economy + production networks:

Network amplification, closed economy: **Pasten, Schoenle & Weber (2020)**; **Ghassibe (2021)**; **Rubbo (2023)**²; **Afrouzi & Bhattarai (2023)**

Open-economy multi-sector NK + networks: **Devereux, Gente & Yu (2023)**; **Hinterlang et al. (2023)** EMuSe (Bundesbank); closest: **Kalemli-Özcan, Soylu & Yildirim (2025)** “Global networks, MP and trade”

Trade fragmentation & inflation: **Moro & Nispi Landi (2024)**; **Ambrosino, Chan & Tenreiro (2026, JIE)**

Optimal MP under tariffs: **Bergin & Corsetti (2023)**; **Bianchi & Coulibaly (2025)** “Optimal MP response to tariffs” (*different* paper from their fear-of-floating one)

Bottom line: none compares FX regimes or asks whether a DC index survives — they fix the monetary rule. That gap is still exactly our question.

² Published version: Rubbo, E. (2023), *Econometrica* 91(4), 1417–1455 — Production Network Model